

LIABILITIES TO NET WORTH RATIO

However, this does not necessarily mean that our liabilities are in order. Our liabilities could still be stretched even if we are not facing bankruptcy risks. So, we will first get our liabilities under control and keep the liabilities to net worth less than 0.5. However, if it is more than 0.5 but less than 3, we can say that we are not facing any bankruptcy risk but our liabilities are stretched. We will stop to make sure that our liabilities are in order and are getting systematically paid.

Our focus will remain on the liability side till the time we get our liabilities to net worth ratio reduced to 0.5. After that, we can start focusing on the assets. Once the ratio falls to 0, then our full-fledged focus shifts to the asset side. This is when we will start investing aggressively. We will never use debt as an excuse to not have and follow a Lazy Financial Plan. Debt is very much a part of the Lazy Financial Plan.

